(i) Failure of constitutional machinery in the states (Article 356) or

(ii) Failure to comply with or to give effect to directions given by the Union (Article 365)

The President acquires the following extraordinary powers when the President's rule is imposed in a state:

(i) He/she can assign to himself all or any of the functions of the state government and all or any of the powers vested in the governor or anybody or authority in the state.

(ii) He/she can declare that the powers of the state legislature shall be exercisable by or under the authority of the Parliament.

(iii) He/she can authorise, when the Lok Sabha is not in session, expenditure from the Consolidated Fund of the state, pending the sanction of such expenditure by the Parliament.

(c) ***Financial Emergency:*** The President can proclaim financial emergency if he/she is satisfied that the financial stability or credit of India or any part thereof, is threatened.

During a financial emergency, the President can issue directions for the reduction of salaries and allowances of all or any class of persons serving in connection with the affairs of the Union, including the judges of the Supreme Court and High Courts.

VETO POWER OF THE PRESIDENT

A bill passed by the Parliament can become an act only if it receives the assent of the President. When such a bill is presented to the President for his assent, he/she has three alternatives (under Article 111 of the Constitution):

1. He/she may give his assent to the bill, or
2. He/she may withhold his/her assent to the bill, or
3. He/she may return the bill (if it is not a Money bill) for reconsideration of the Parliament. However, if the bill is passed again by the Parliament with or without amendments and again presented to the President, the President must give his/her assent to the bill.

Thus, the President has the veto power over the bills passed by the Parliament[9], that is, he/she can withhold his/her assent to the bills. The object of conferring this power on the President is two-fold—(a) to prevent hasty and ill-considered legislation by the Parliament; and (b) to prevent a legislation which may be unconstitutional.

The veto power enjoyed by the executive in modern states can be classified into the following four types:

1. Absolute veto, that is, withholding of assent to the bill passed by the legislature.
2. Qualified veto, which can be overridden by the legislature with a higher majority.
3. Suspensive veto, which can be overridden by the legislature with an ordinary majority.
4. Pocket veto, that is, taking no action on the bill passed by the legislature.